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What's News

Business & Finance

- ◆ **Disney named** Josh D'Amaro as its new chief executive, elevating the man in charge of its theme parks and cruise ships to lead the entertainment brand. **A1**
- ◆ **U.S. manufacturing is** in retreat, with fewer people working in the sector than at any point since the Covid-19 pandemic ended. **A1**
- ◆ **Software stocks sagged** on investors' fears that the technology could be supplanted by AI, helping to depress the S&P 500, Nasdaq and Dow by 0.8%, 1.4% and 0.3%, respectively. **A1**
- ◆ **Fed governor** Stephen Miran said he has resigned from his job as a top White House economic adviser, ending an unusual dual role. **A2**
- ◆ **Citadel founder and** CEO Ken Griffin criticized the Trump administration's interference in the daily business of American companies and raised concerns about self-serving decisions made by government officials. **A2**
- ◆ **PepsiCo is cutting** prices by as much as 15% on some of its snacks after consumers complained about the affordability of the products. **B1**
- ◆ **PayPal replaced its** chief executive, saying its board decided "the pace of change and execution was not in line" with expectations. **B2**
- ◆ **Google plans to spend** \$4.75 billion to help find enough electricity to run more data centers, a capacity essential to maintaining the AI race. **B1**
- ◆ **Nintendo maintained** its annual forecasts for Switch 2 sales and net profit even as it reported sharply higher nine-month results, boosted by the gaming device's popularity. **B4**

Worldwide

- ◆ **The Republican-led** House passed funding legislation to end a partial government shutdown and kick off 10 days of negotiations over immigration enforcement. **A3**
- ◆ **Two Iranian maritime** provocations against the U.S. appear not to have derailed scheduled nuclear talks between Tehran and Washington this week, U.S. officials said. **A6**
- ◆ **A new poll shows 76%** of Greenlanders say they wouldn't benefit from becoming part of the U.S., noting disparities in provisions for social welfare between Denmark and the U.S. **A7**
- ◆ **Trump doubled down** on his view that Republicans should "nationalize" voting in the U.S., questioning whether certain states should continue running their own elections as spelled out in the Constitution. **A4**
- ◆ **Former President** Bill Clinton and former Secretary of State Hillary Clinton reached a deal to appear for depositions in the House investigation into Jeffrey Epstein. **A5**
- ◆ **Trump said he is** seeking \$1 billion in damages from Harvard University, the latest escalation in his administration's fight with the institution over alleged antisemitism. **A3**
- ◆ **Polish authorities** arrested a Defense Ministry official for allegedly spying on behalf of Russia and Belarus, in one of the country's highest-profile espionage cases. **A6**
- ◆ **A Doberman pinscher** named Penny won best in show at the 150th annual Westminster Kennel Club Dog Show in New York City. **A5**

CONTENTS		Opinion.....	A13-15
Arts in Review....	A12	Personal Journal A10-11	
Business & Finance	B2-7	Property Report....	B6
Business News....	B3	Sports.....	A16
Crossword.....	A11	Technology.....	B4
Heard on Street....	B13	U.S. News.....	A2-5
Market Data.....	B8	World News.....	A6-8



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U.S. Manufacturing Is in Retreat

Factories cut jobs as president's promised boom from tariffs hasn't occurred

By DAVID UBERTI

The manufacturing boom President Trump promised would usher in a golden age for the U.S. is going in reverse. After years of economic interventions by the Trump and Biden administrations, fewer people work in manufacturing than any point since the pandemic ended.

Manufacturers shed workers in each of the eight months after Trump unveiled "Liberation Day" tariffs, according to federal figures, extending a contraction that has seen more than 200,000 roles disappear since 2023.

An index of factory activity tracked by the Institute for Supply Management shrunk in 26 straight months through December, but showed a January uptick in new orders and production that surprised analysts. The Census Bureau estimated that manufacturing construction spending, which surged with Biden-era funding

for chips and renewable energy, fell in each of Trump's first nine months in office.

The gradual slowdown is in some ways a continuation of decadeslong trends that pulled factory jobs overseas and helped empty out Midwestern cities. In an industry where capital plans and construction timelines extend years into the future, turnarounds also don't happen overnight.

In November, the Federal Reserve slashed estimates for overall U.S. output since the pandemic in an annual revision to metrics for indus-

Please turn to page A2



Russia Resumes Attacks to Cripple Ukraine Energy



WARM HEARTS: Polish volunteers served soup in a bitterly cold Kyiv on Tuesday as Russia launched one of its biggest strikes on Ukrainian cities. The air attack hit thermal power plants and left nearly 2,000 apartment buildings without heat. **A6**

The Aide Stoking Trump's Impulses

Stephen Miller uses his White House clout to fuel boundary-pushing policies

By JOSH DAWSEY AND TARINI PARTI

Moments after federal officers fatally shot Alex Pretti, his body still lying facedown on an icy Minneapolis street, Customs and Border Protection officials texted Stephen Miller, the White House aide and presidential confidant who framed the government's response.

While White House communication

and policy aides tried to sort out what they knew, what they should say and who would brief President Trump, Miller jumped ahead. Three hours after the shooting, Miller told the world via X that the slain VA nurse was a "domestic terrorist" who had "tried to assassinate federal law enforcement," a description that set off one of the Trump administration's biggest political crises of the president's second

term.

None of the language Miller used had been approved or reviewed, said administration officials familiar with the matter. Miller, who shared a photo of the handgun found on Pretti's hip with White House officials, told colleagues his comments were based on

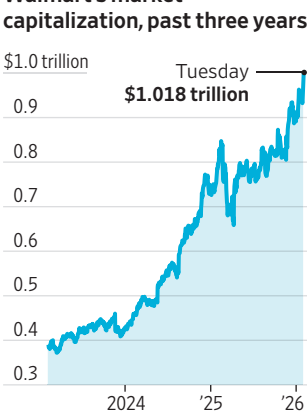
Please turn to page A9

◆ **Measure ending shutdown signed...** **A3**

Walmart Joins \$1 Trillion Club

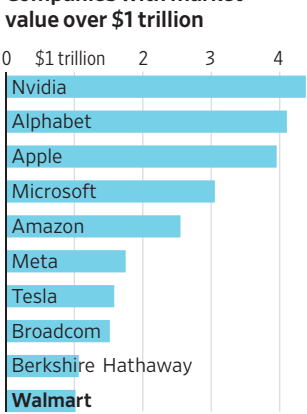
In trading Tuesday morning, Walmart passed the \$125.47 a share needed to reach its trillion-dollar valuation. Shares closed up 2.9%, giving the retailer a market cap of \$1.018 trillion. **B1**

Walmart's market capitalization, past three years



Source: FactSet

Companies with market value over \$1 trillion



AI Worry Erases \$300 Billion In Software Firms' Market Value

By MATT WIRZ AND JACK PITCHER

Investors' fears that new developments in artificial intelligence will supplant software reverberated through the stock market Tuesday, dragging down the shares of companies that develop, license and even invest in code and systems.

Traders have questioned whether AI will chip away at the competitive moat built by software makers like Adobe and Salesforce ever since generative AI models hit the market sev-

eral years ago. Recent advancements in tools such as those from AI developer Anthropic are now prompting more scrutiny.

On Tuesday morning, investors homed in on Anthropic's announcement that it was adding new legal tools to its Cowork assistant meant to help automate a number of legal drafting and research tasks. Shares of Thomson Reuters, Legalzoom.com and London Stock Exchange, which all provide some form of legal tools or research databases, all fell more than 12%.

By afternoon trading, the downturn had swept through the broader software market. A pair of S&P indexes that track software, financial-data and exchange stocks lost a combined total of around \$300 billion in market value.

The tech-heavy Nasdaq composite fell 1.4%. The S&P 500 was 0.8% lower, while the Dow Jones Industrial Average, which is less exposed to soft-

Please turn to page A5

◆ **Heard on the Street: Fickle market for AI offerings...** **B13**

INSIDE



BUSINESS & FINANCE
Cybercrime prosecutors raid X's Paris office, summon Musk for interview. **B1**

S&P's 'Earnings Pope' Stirs Lament With Exit

By KRYSTAL HUR

The high priest of the S&P 500 index. The dean of data. The earnings pope.

Those are all monikers bestowed upon Howard Silverblatt, longtime senior index analyst at S&P Global. Famous for his encyclopedic knowledge of the benchmark stock index and his fast-paced Brooklyn burr, he has been a markets data maven for everyone from Wall Street analysts to financial journalists.

But after nearly 49 years, Silverblatt has taken on a new title: Florida retiree.

Silverblatt spent his entire career at S&P, a rarity among restless Wall Street hustlers who often flit between companies to climb the corporate ladder. His monthly email blasts, chock-full of data on earnings, stock buybacks and returns tied to the S&P 500, have long been considered essential reading for market watchers. Now many are won-

Please turn to page A2

They Landed the Super Bowl. The Party Got Away.

The game is in San Jose's backyard, but city is getting the 'Charlie Brown' treatment

By JIM CARLTON

SAN JOSE, Calif.—Do you know the way to San Jose? Some here think the NFL doesn't.

The city's more glamorous cousin, San Francisco, ended up with the lion's share of official Super Bowl week activities. This despite San Francisco being 40 miles north of

Levi's Stadium, where the game will be played, while San Jose is next door.

Even worse, it's not the first time the Bay Area's largest city has lost out on first place to its No. 2 neighbor.

During the 2016 Super Bowl

Please turn to page A9

◆ **NFL's best free-agent bargain.....** **A16**